Marcus & Sarah Chen — Monthly Budget

Created: March 14, 2026 **Based on:** 3 months of bank/credit card statements + interview answers

Monthly Income (Net)

Source	Amount
Marcus take-home	$5,420
Sarah take-home	$4,010
Canada Child Benefit	$1,040
Quarterly benefit income (monthly avg)	$81
Total net income	**$10,551**

Fixed Monthly Expenses

Category	Amount	Notes
Mortgage	$2,340	4.89% fixed, renews June 2026
Property tax	$375	$4,500/year, paid monthly through mortgage
Home insurance	$142	Annual $1,700, paid monthly
Condo/strata fees	$0	Freehold townhouse
Car loan (CR-V)	$420	6.49%, 36 months remaining
Auto insurance (2 vehicles)	$385	$230 CR-V + $155 Corolla
Gas / fuel	$340	Two cars, Marcus commutes 25 min
Credit card minimum	$126	TD Visa, 20.99% — paying more than min
Student loan (Sarah)	$180	Federal (interest-free since 2023)
Childcare (Lily — before/after school care)	$680	$34/day × 20 days, JK program
Childcare (Owen — home daycare)	$1,100	Licensed home daycare in Barrie
Phone (2 lines)	$145	Marcus $80, Sarah $65

Category	Amount	Notes
Internet	$85	Rogers, 500 Mbps
Streaming services	$62	Netflix $17, Disney+ $12, Spotify $17, Crave $16
Marcus union dues	$87	OPSEU
RESP — Lily	$208	$2,500/year for full CESG
RESP — Owen	$104	$1,250/year — only partial CESG
Life / disability insurance (personal)	$0	None — flagged as gap
Total fixed	**$6,779**	

Variable Monthly Expenses

Category	Amount	Notes
Groceries	$950	Family of 4, Barrie prices
Dining out / takeout	$380	Includes Friday pizza night (~$45/week) + occasional takeout
Coffee / Tim Hortons (Marcus)	$110	~$5/workday
Utilities (hydro + gas + water)	$285	Averaged across seasons
Clothing & personal care	$180	Kids grow fast
Kids' activities	$120	Lily swimming $80/month, misc $40
Household supplies	$95	Cleaning, toiletries, misc
Health expenses (out of pocket)	$160	Sarah massage $80/session × 2/month (not submitting to benefits)
Gifts & donations	$75	Averaged — higher in December
Entertainment & hobbies	$90	Marcus gaming subscription, family outings
Personal spending / fun money	$200	$100 each
Pet expenses	$0	No pets
Alcohol / cannabis	$60	Occasional wine/beer
Amazon / online shopping	$120	Impulse buys — Marcus admits this is a problem
Total variable	**$2,825**	

Annual / Irregular Expenses (Monthly Average)

Category	Annual	Monthly Avg
Vehicle maintenance / tires	$1,800	$150
Holiday spending (Christmas)	$1,500	$125
Birthday gifts (kids + family)	$600	$50
Back-to-school (Lily)	$300	$25
Summer camp (Lily)	$1,200	$100
Home maintenance / repairs	$1,200	$100
Family vacation (camping trip)	$2,000	$167
Tax prep (TurboTax)	$50	$4
Professional development	$0	$0
Total irregular	**$8,650**	**$721**

Budget Summary

	Monthly	Annual
Total income (net)	**$10,551**	**$126,612**
Fixed expenses	$6,779	$81,348
Variable expenses	$2,825	$33,900
Irregular expenses (avg)	$721	$8,650
Total expenses	**$10,325**	**$123,898**
Monthly surplus	**$226**	**$2,714**

Key Ratios

Metric	Current	Target	Status
Savings rate	2.1% of net	15-20%	🔴 Critical
Housing (GDS)	28.7% of gross	<32%	✅ Good
Total debt service (TDS)	36.2% of gross	<40%	⚠️ Watch
Emergency fund coverage	1.1 months	3-6 months	🔴 Critical
Needs / Wants / Savings	73% / 25% / 2%	50/30/20	🔴 Needs too high

Where the Money Goes (% of net income)

Category	%	Amount
Housing (mortgage + tax + insurance)	27.1%	$2,857
Childcare	16.9%	$1,780
Transportation (loan + insurance + gas)	10.9%	$1,145
Food (groceries + dining + coffee)	13.7%	$1,440
Debt payments (CC + student loan)	2.9%	$306
Kids (activities + camp + school)	2.8%	$295
RESP contributions	3.0%	$312
Utilities & telecom	4.8%	$512
Lifestyle (entertainment + personal + shopping)	5.0%	$530
Health & personal care	3.2%	$340
Irregular / annual (averaged)	6.8%	$721
Everything else (gifts, streaming, misc)	1.4%	$137
Surplus	**2.1%**	**$226**

Spending Insights

Joy Spending (Protect This)

- Friday pizza night with the family (~$180/month in dining)
- Lily's swimming lessons ($80/month)
- Annual camping vacation ($2,000/year)
- These total ~$427/month — they stay in the budget

Habit Spending (Redirect This)

- Marcus Tim Hortons: $110/month = $1,320/year. Making coffee at home saves ~$90/month
- Streaming services: $62/month, but they only actively watch Netflix and Disney+. Cancel Crave and Spotify (use free tier) = save $33/month
- Amazon impulse buys: $120/month = $1,440/year. The "wait 48 hours" rule could cut this by 60% = save ~$72/month
- **Total potential redirect: ~$195/month = $2,340/year**

Money Left on the Table

- Sarah's massage therapy: $160/month out of pocket, but Marcus's employer benefits cover 80% of paramedical up to $500/year. Submit through Marcus's plan first → save ~$400/year in reimbursements. Then submit remainder to Sarah's plan for additional coverage.

- Marcus's HSA: $500 unused (resets April 1) — use for Lily's prescription allergy medication, Sarah's massage gap, or kids' dental
- Owen RESP gap: Only contributing $1,250/year. Missing $1,250/year in contributions = missing $250/year in CESG grants. That's free government money.
- Sarah's RRSP in high-fee mutual fund: TD Balanced Growth Fund charges 2.31% MER. Switching to a low-cost ETF (e.g., VBAL at 0.17%) on $14,200 would save ~$304/year in fees, growing to significant savings over decades.

Upcoming Budget Impact: Insurance Gaps

Once the Chens act on the insurance recommendations in the plan, their budget needs to absorb: - Term life insurance (Marcus ~$1.15M + Sarah ~$1M): ~$95-125/month combined - Sarah disability insurance (own-occ, to age 65): ~$80-120/month - Wills and POAs (one-time): ~$800-$1,500

These are funded from the $195/month in habit spending redirects + $226/month current surplus = $421/month available. Insurance premiums (~$175-245/month) fit within this, with room remaining for debt acceleration.

Tax Filing Optimization (Annual Savings)

- Claim medical expenses on Sarah's return: 3% threshold on ~$65K = $1,950 vs Marcus's $2,760. Lower threshold = more deductible. Estimated additional credit: ~$150-300/year.
- Combine charitable donations on Marcus's return: 29% rate above $200 (vs 14% on first $200 in 2026). Stack both spouses' donations for maximum credit.
- Switch from TurboTax ($50/year) to Wealthsimple Tax (free): saves $50/year.
- Note: federal student loans have been interest-free since April 2023, so Sarah pays no interest and has no student-loan-interest credit to claim.